

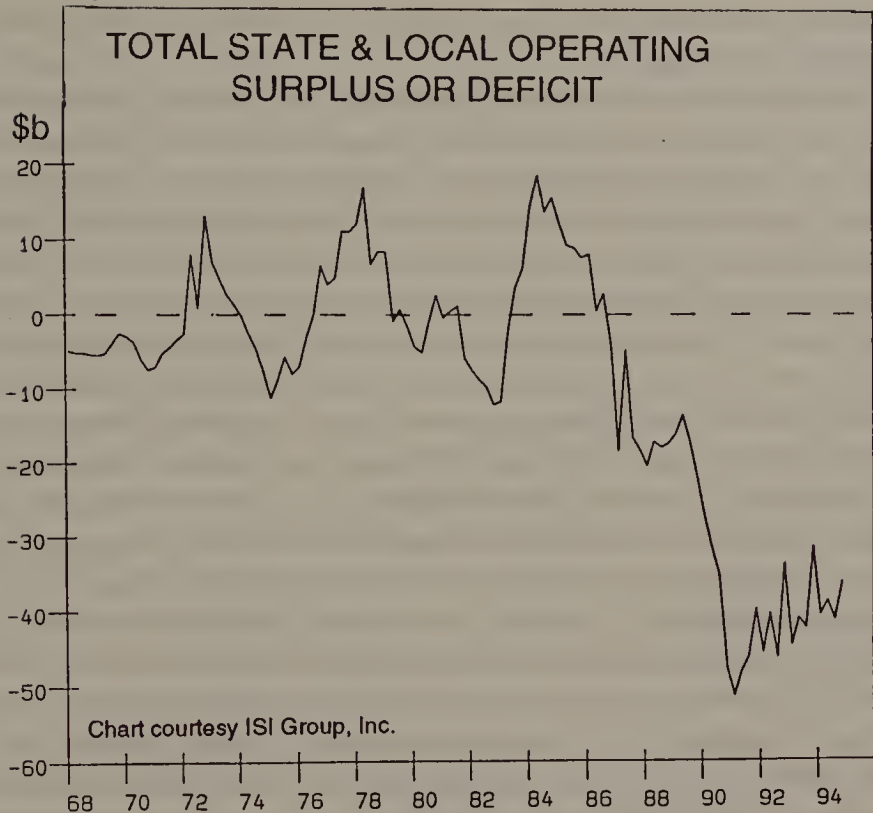


Figure 16-14

which now amount to 6% of all municipal debt. The attraction was yet a higher yield. However, a simple vote by county residents can stop “lease payments” on these debts. Insurance companies might be able to pay off a few such defaults, but their resources are limited and will not withstand a general trend toward taxpayer refusal to honor politicians’ promises. When the economic contraction begins in earnest, this paper will be considered risky-to-worthless by the market, and prices will plummet.

Municipal bonds, treasured by retirees and others who like to save a percent or two on taxes, are a trap. Investors may save on their taxes, but it will be at the cost of their principal. In coming years, watch not only for a dramatic increase in muni bond defaults, but also for numerous stories of reckless negligence and corruption involving municipal and state government bond issues.

Zero Coupon Bonds

For years, investors, spurred on by brokerage firms, have been loading up on “zero coupon bonds.” “Zeros,” as they are called (perhaps unconsciously in reference to their ultimate value), are bonds